

While the bottom-up, top-down, and quantitative approaches provide valuable insight into the market's assessment of fair value and appropriate stocks to hold in the portfolio, these techniques do not provide insight into how to measure and incorporate investors' subjective assessment and preference of the securities or how markets will react to the arrival of "new" information. Without taking into account these preferences, portfolio managers could transact at unfavorable prices, causing a drag on performance; a common reason why funds underperform their peers. As will be a theme in this chapter, it is the role of the market microstructure researcher/analyst to provide insight and valuable information to traders and portfolio managers so that the best possible market prices are captured—thus reducing the performance drag and improving portfolio returns.

One of the main roles of financial markets is to provide investors with a fair and transparent price discovery and liquidity snapshot. Unlike formal economic theory suggests, financial markets are far from frictionless. In fact, it is this inefficiency that often leads to costly implementation. As such, market microstructure analysts are tasked with understanding not only the price discovery process and market liquidity, but also how prices will change with the arrival of new information and competing customer orders.

Historically, companies would either list on a traditional exchange (listed) such as the New York Stock Exchange (NYSE) or trade in an over-the-counter-market (OTC) such as the National Association of Securities Dealers Automatic Quotation market (NASDAQ). Stocks listed on the NYSE would trade via a system utilizing a sole specialist, whose job was to match customer orders, keep a fair and orderly market, provide liquidity, and maintain a central order book consisting of all customer buy and sell orders. Specialists would have access to all orders residing in the central order, allowing them to determine the overall buy-sell imbalance and establish a fair value price based on market information. Specialists would disseminate the best bid and best ask prices to the public marketplace.

Stocks listing in the OTC market would trade via NASDAQ's dealer-based system with multiple market makers. Each market maker provides their best bid and ask price to a central quotation system. Customers wishing to trade would route their order to the market maker with the best quoted price. Through competition with multiple parties vying for orders, customers were almost ensured that they would receive the best available fair prices. Similar to specialists, market makers were responsible for maintaining a fair and orderly market, providing liquidity, and disseminating prices. But unlike